

she is, Joy lets it slip that their lender will probably go for it if the couple can come up with a slightly larger down payment. Luckily, Alex's father is willing to lend them the remaining \$40,000, as long as they pay him back gradually over time.

Because the property was just listed and is getting a lot of interest, Joy encourages the couple to submit a "competitive bid" at a few thousand dollars higher than the asking price. Alex and Shelby breathe a sigh of relief when their bid is accepted, and they go under contract on their dream home.

After a few tense weeks of negotiating with the seller, getting a home inspection, and signing endless contracts, Alex and Shelby close on their home. Their expert real estate agent, Joy, helped them navigate a few tricky situations, and she even negotiated \$10,000 in concessions from the seller! Joy is a top agent, after all. (And she'll be making close to \$15,000 on this transaction—talk about an incentive.)

The couple used the \$40,000 they'd saved as a down payment, they have a \$2,500 monthly mortgage payment, and they will pay back an additional \$500 per month to Alex's dad for the next several years. They move into their dream home, and after settling in, they can't believe how responsible and mature they feel for finally moving forward on such a big milestone.

Life is bliss. (Or is it?)

SO...WHAT'S THE PROBLEM?

Alex and Shelby's first-time home buyer situation seems par for the course. Little do they know, they're setting themselves up for a decades-long slog of financial struggle and worry. They've walked into an unseen financial booby trap that will consume the best part of their lives—that is, unless they win the lottery or receive a mysterious inheritance from Great Aunt Linda.

It took them five years to save up \$40,000, build their credit, and get to \$85,000 in joint income. Basically, all their cash savings and income (plus a little help from Dad) will now go toward the down payment and mortgage payments on their house. Their monthly expenses jump from \$1,800 in rent to \$2,500 toward their new mortgage (plus \$500 per month to Alex's dad for the generous loan—which will take nearly seven years to pay back). On top